2005 $40 calls, which were trading near $5. Then there was some marginal bearish news, and the stock traded down to about $27. The calls we were looking to buy went down from $5 to $3.50. That was a big percentage move, which made the juice in the trade look that much greater, and we bought the calls.

How long did you stay in the trade?

We held the options for over a year, during which time, Capital One stock fully recovered. We ended up making about six times our money on the calls.

The Altria and Capital One trades provided examples of situations where the normal probability distribution assumption implicit in option pricing models was inconsistent with market realities. What other inconsistencies do you believe exist in the way options are priced?

Options are priced lowest when recent volatility has been very low. In my experience, however, the single best predictor of future increases of volatility is low historical volatility. When volatility gets very low in a market, we consider that a very interesting time to start looking for ways to get long volatility, both because volatility is very cheap in an absolute sense and because the market certainty and complacency reflected by low volatility often implies an above-average probability of increased future volatility.

Do you favor long-dated options?

Often, the longer the duration of the option, the lower the implied volatility, which makes absolutely no sense. We recently bought far out-of-the-money 10-year call options on the Dow as an inflation hedge. Implied volatility on the index is very low. The Dow companies would be in the best position to pass along higher prices. There is also an interest rate bet implicit in buying long-term options that can be quite interesting when interest rates are very low, as they are now. By being long 10-year call options, we are taking exposure on the risk-free rate implicit in the option pricing models. If interest rates go up, the value of the options can go up dramatically.